Colonial rule ended in Belgian Congo on 30 June 1960, when the newly independent Republic of Congo was formed. The first five post-independence years were marked by political upheaval and secessionist movements. In 1965, General Mobutu seized power in a military coup and renamed the country the Republic of Zaire (derived from the Portuguese name of the Congo river – Zaire). The currency of the new Republic was also called the zaire.

As the Congo was rich in natural resources, especially uranium, it became one of the focal points in the Cold War between the Soviet Union and the US. Mobutu's rule was characterized by widespread cronyism, endemic corruption and economic mismanagement.

In early 1990, the zaire traded at about 300 to the US dollar, but it rapidly depreciated when the Americans withdrew support after the end of the Cold War. Hyperinflation accelerated and vast segments of the economy shut down. With the price of food beyond the reach of most of the population, there was a migration from urban areas back into the 'bush', where food was still available. In July 1991, Zaire Army soldiers mutinied because they had not been paid. In the weeks of looting and violence that followed, several shops and industrial establishments were destroyed. The rioting also led to the evacuation of virtually all foreign workers, including most of the country's university professors, teaching staff at hospitals, and geologists in the vital mining industry.

Rioting erupted again in February 1992, when soldiers discovered that the new five-million-zaire banknotes used to pay them were impossible to spend. They seized control of the parliament building and held several hundred lawmakers hostage, demanding that they order local merchants to accept the new banknotes. Hundreds, including the French ambassador, were killed.

The 1993 Demonetization